

Executive Management Summary

Customer Segmentation & Marketing Strategy — Module 8

Prepared for senior management. Full supporting analysis is available in the companion Full Business Report, Jupyter notebook, and dashboard.

Project Overview

We segmented our 2,240-customer base using income, spending, tenure, family composition, and engagement data, then translated the resulting segments into marketing, pricing, retention, and reactivation actions. This summary highlights the findings and recommendations most relevant to resourcing and budget decisions for the next planning cycle.

Customer Segmentation Summary

Segment	Share of Base	Avg. Annual Spend	Campaign Response
Premium Loyal Customers	22.2%	~\$1,430	~20%
Affluent Family Shoppers	27.0%	~\$830	~5%
Budget-Conscious Families	17.7%	~\$137	~3%
Low-Engagement Shoppers	33.1%	~\$120	~3%

Key Business Findings

Revenue is highly concentrated in the two higher-income segments, which together are under half of customers by headcount but generate the large majority of total spend. Premium Loyal Customers respond to marketing campaigns at roughly four times the rate of every other segment. The largest segment by headcount — Low-Engagement Shoppers, at a third of the base — contributes the least revenue per customer and shows the weakest conversion from site visits to completed purchases.

High-Value Customer Segments

Premium Loyal Customers and **Affluent Family Shoppers** are the segments to protect and grow. They are best served with loyalty tiers, early access, and family-oriented bundling rather than heavy discounting, which would erode margin on customers who are already willing to pay full price.

High-Risk Customer Segments

Low-Engagement Shoppers carry the highest disengagement risk: low spend and low campaign response despite meaningful browsing activity. **Budget-Conscious Families** are price-sensitive and could churn toward lower-cost competitors if value messaging weakens.

Marketing Recommendations

Tailor message, channel, and offer type by segment: exclusivity-led messaging and premium framing for high-value segments; value-, convenience-, and savings-led messaging for price-sensitive and disengaged segments. Match contact cadence to each group's natural engagement level to avoid fatigue on high-value customers and under-contact on at-risk ones.

Revenue Improvement Opportunities

The two largest near-term revenue levers are: (1) increasing basket size and purchase frequency among Affluent Family Shoppers through bundling and multi-buy offers, and (2) converting a portion of Budget-Conscious Families' existing browsing activity into completed purchases with low-cost, well-timed incentives — alongside continuing to protect Premium Loyal Customer wallet share.

Customer Retention Recommendations

Introduce a tiered loyalty program so Premium and Affluent segments have a clear incentive to consolidate spend with us, paired with low-cost, low-barrier loyalty mechanics (simple cashback/stamp-style rewards) to retain price-sensitive segments without resorting to heavy discounting.

Business Growth Opportunities

Activating even a modest share of the Low-Engagement segment — a third of the customer base — through a structured, trigger-based reactivation sequence (reminder at 30 days of inactivity, offer at 60, final win-back at 90) represents a meaningful volume opportunity given the segment's size.

Recommended Next Steps

Priority	Action	Owner Focus
1	Launch tiered loyalty program for Premium & Affluent segments	Loyalty / CRM
2	Deploy trigger-based reactivation sequence for Low-Engagement Shoppers	Lifecycle Marketing
3	Test bundle offers with Affluent Family Shoppers to grow basket size	Merchandising
4	Introduce low-cost loyalty tier for Budget-Conscious Families	CRM

Final Conclusion

The segmentation reveals a clear value hierarchy across the customer base rather than a homogeneous audience. The recommended strategy is to protect and deepen relationships with the two high-value segments while running cost-efficient conversion and reactivation programs for the two lower-value segments — rather than applying one uniform marketing approach across all customers.